Type MS · Fiscal balance: budget surplus or deficit

Answer 1 of 4 · Question 1 part e · 2 marks

2021 JUN · Paper 02 · extract 1 of 5 · find part e in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** Seasonal A is not correct because this is caused by changes in whole industries B is not correct because this is caused by falling demand as a result of a downturn in the economic cycle D is not correct because this is caused from people choosing not to work	**(1)**

Question Number	Which **one** of the following terms refers to a tax on imported goods? Answer	Mark
1(b)	**AO1 1 mark** The only correct answer is **B** Tariff A is not correct because this is money paid by a government to reduce costs and lower prices C is not correct because this is a financial penalty for firms that break laws D is not correct because this is a document that gives business the right to discharge a certain quantity of polluting material	**(1)**

Question Number	What is meant by the term recession? Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to fall in GDP and 1 mark for reference to time period A fall in GDP **(1)** for two successive quarters **(1)**. Accept any other appropriate response	**(2)**

Type MS · Fiscal balance: budget surplus or deficit

Answer 1 of 4 · Question 1 part e · 2 marks

2021 JUN · Paper 02 · extract 2 of 5 · find part e in this mark scheme extract

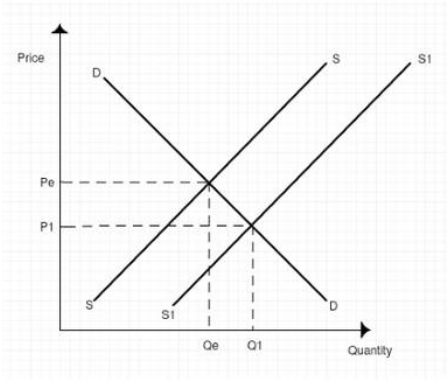
Question Number	What is meant by the term dumping? Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to exporting goods and 1 mark for reference to the price being below manufacturing costs A firm sells goods in another country **(1)** below the cost of production **(1).** Accept any other appropriate response	**(2)**

Question Number	Calculate **the fiscal surplus/deficit in Indian rupees crore (Rs)** for India in 2019–2020. You are advised to show your working. Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation 2 080 201 Rs – 2 784 200 Rs **(1)** Award 1 mark for the correct answer = –703 999 Rs **(1)** Award 2 marks for the correct answer of –703 999 Rs even if no calculations are shown. Award 1 mark if the answer given is –703 999 with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Fiscal balance: budget surplus or deficit

Answer 1 of 4 · Question 1 part e · 2 marks

2021 JUN · Paper 02 · extract 3 of 5 · find part e in this mark scheme extract

Question Number	Using the diagram below, draw the likely effects of the introduction of a subsidy on the equilibrium price and quantity of new cars for families with three or more children. Label the new curve, the new equilibrium price and the new equilibrium quantity. Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply curve, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question Number	Explain **one** benefit to the UK Government of providing parks. Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant benefit Award 1 mark for developing the benefit Award 1 mark for the response being in context • One benefit is that national parks can protect a large area of land **(1)**. The Lake District National Park has over 12% of woodland that is protected **(1)**. Restrictions are in place to stop business activities that could damage the environment **(1)** • One benefit is that national parks can be used for recreational purposes **(1)**. Over 19.17 million people visited the Lake District National Park in 2018 **(1)** increasing tourism for local firms **(1)** Accept any other appropriate response	**(3)**

Type MS · Fiscal balance: budget surplus or deficit

Answer 1 of 4 · Question 1 part e · 2 marks

2021 JUN · Paper 02 · extract 4 of 5 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the benefits of FDI for a country such as Ireland. Indicative content
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • FDI is the value of inward investment from other countries/firms into a country • FDI can bring in capital investment to Ireland as MNCs will need buildings, equipment and infrastructure to operate within the country • Jobs can be created by MNCs which reduces unemployment and increases disposable income in Ireland • There may be increased demand for the products or services of local Irish firms that supply MNCs • MNCs may train up the local workforce and MNCs often bring new technologies, techniques and methods • Increased employment and wages should lead to increased tax for the Irish Government • Exports may also increase therefore improving the balance of payments for Ireland

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity an organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal balance: budget surplus or deficit

Answer 1 of 4 · Question 1 part e · 2 marks

2021 JUN · Paper 02 · extract 5 of 5 · find part e in this mark scheme extract

Question Number	An appreciation in a country's exchange rate is most likely to lead to which **one** of the following? Answer	Mark

Type MS · Fiscal balance: budget surplus or deficit

Answer 2 of 4 · Question 4 part a · 2 marks

2020 NOV · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

4(a)	**AO2 2 marks** Award 2 marks for calculating the fiscal deficit €8 119 601 – €8 197 243 **(1)** = -€77 642m **(1)** Award 2 marks if fiscal deficit is accurately calculated with no workings shown -€77 642m Award 1 mark if € sign is missing i.e. -77 642m Do not award marks for the formula	**(2)**

Question Number	Indicative content	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Fiscal policy is the use of government spending and taxation to affect macroeconomic objectives • An increase in taxation through either direct or indirect taxation may result in reduced spending for consumers and businesses in Estonian as there is less disposable income available • This reduced spending puts less pressure on prices and therefore can help to control inflationary pressures within the Estonian economy which increased to 4.4% in October • In addition, lower government spending within the Estonian economy may also have a downward effect on prices as government spending contributes to demand • Both measures may result in less demand-pull inflation within the Estonian economy	**(6)**

Type MS · Fiscal balance: budget surplus or deficit

Answer 2 of 4 · Question 4 part a · 2 marks

2020 NOV · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal balance: budget surplus or deficit

Answer 2 of 4 · Question 4 part a · 2 marks

2020 NOV · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Indicative content	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Subsidies are given by a government to a producer to reduce the costs of production or to a consumer to reduce the price of consumption • The Estonian Government gives subsidies to public transport so that more people are able to use these services rather than cars • The Minister of Economic Affairs said that there has been an increase in 33% of people using the buses • Cheaper public transport has also reduced the number of cars and pollution in Estonia • The amount given to bus services has grown from €34.8m to €43.3m in 2019 which should encourage even more people to switch from cars to public transport reducing the environmental impact **AO4** • However, the Estonian Government will have to fund the public transport subsidies creating an opportunity cost • The money used to subsidise public transport could have been used elsewhere within the Estonian economy • Many people might argue that the Estonian Government should not be increasing the subsidy paid for air travel to €5.53m as this is a major cause of damage to the environment • There are other ways in which the government can protect the environment which may have less opportunity cost to the Estonian Government • Regulation through the use of laws and fines could be used to protect the environment which may have less of a financial burden upon the Estonian Government • Revenue from fines could be used to tackle some of the damaged caused by transport • The overall advantages will depend upon how much public transport contributes to environmental damage	**(12)**

Type MS · Fiscal balance: budget surplus or deficit

Answer 2 of 4 · Question 4 part a · 2 marks

2020 NOV · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–4**	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	**5–8**	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	**9–12**	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Fiscal balance: budget surplus or deficit

Answer 2 of 4 · Question 4 part a · 2 marks

2020 NOV · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

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Type MS · Fiscal balance: budget surplus or deficit

Answer 2 of 4 · Question 4 part a · 2 marks

2020 NOV · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Type MS · Fiscal balance: budget surplus or deficit

Answer 3 of 4 · Question 3 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 1 of 6 · find part a in this mark scheme extract

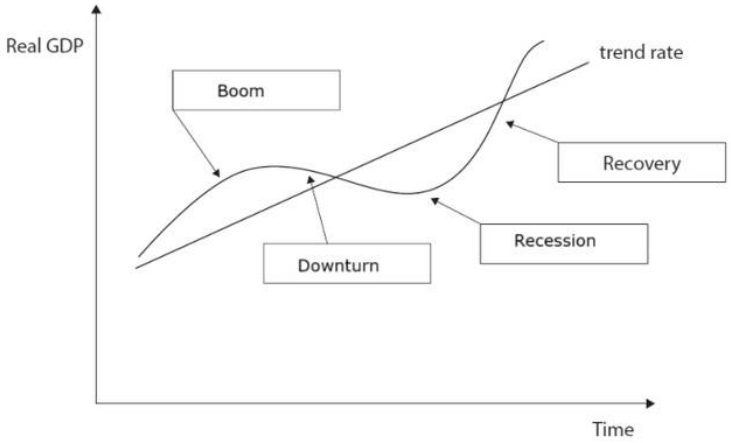
Number	Answer	
3(a)	**AO2 1 mark** The only correct answer is: **D** €100bn surplus A is not correct because this is calculated by adding the figures together and assumes a deficit B is not correct because this is €700bn-€800bn C is not correct because this is €800bn + €700bn	**(1)**

Question Number	Which **one** of the following is an example of a menu cost for Nike in its online shop during times of inflation? **Answer**	Mark
3(b)	**AO2 1 mark** The only correct answer is: **B** The cost of updates to the website due to higher prices for shoes A is not correct because this is a cost of production C is not correct because this describes shoe leather costs D is not correct because this is a cost of shopping online	**(1)**

Type MS · Fiscal balance: budget surplus or deficit

Answer 3 of 4 · Question 3 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for Boom, labelled Award 1 mark for Downturn, labelled Award 1 mark for Recession/Slump/Depression, labelled  	**(3)**

Type MS · Fiscal balance: budget surplus or deficit

Answer 3 of 4 · Question 3 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the likely benefits of globalisation for clothing manufacturers. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Globalisation has opened new markets for producers to sell their goods and services to • This has created new opportunities for clothing producers in China and Bangladesh to expand their customer base and increase their sales revenue • It has enabled clothing producers to use cheaper labour and raw materials in China and Bangladesh • This has led to a reduction in production costs for clothing which has increased profitability for producers • Globalisation has enabled clothing producers to benefit from economies of scale • As production volumes of clothing increase the cost per unit decreases which can lead to lower prices for consumers and increased profits for the producers • Reduced costs of communication have occurred as technology has enabled producers to easily trade with other firms in the clothing supply chain	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal balance: budget surplus or deficit

Answer 3 of 4 · Question 3 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits for the Brazilian economy of introducing a tariff on tyres. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A tariff is a tax on imported goods and services • The 16% tariff may have been introduced to protect the domestic tyre industry from foreign competition • By making imported tyres more expensive the tariff can make domestic tyres more competitive and help to support jobs in the domestic industry • The tariff may have been introduced to address trade imbalances • Brazil may be running a trade deficit therefore by increasing the cost of imports, the tariff can help to reduce imports • The 16% tariff may be to generate government revenue. The revenue generated from the tariff can be used to fund public services or pay off government debt **AO4** • However, tariffs can reduce competition in the tyre market as Brazilian producers have less incentive to improve quality and lower prices • This could lead to lower quality tyres being produced domestically and less innovation in the market • Other countries may respond to the tariff by imposing their own tariffs on Brazilian goods, leading to a trade war that could harm both countries' economies • This could lead to a decrease in the overall volume of trade and a reduction in economic growth • A tariff on imported tyres would likely result in higher prices for consumers • As the cost of imported tyres increases Brazilian tyre producers may also increase their prices leading to higher prices for all types of tyres	**(9)**

Type MS · Fiscal balance: budget surplus or deficit

Answer 3 of 4 · Question 3 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Fiscal balance: budget surplus or deficit

Answer 3 of 4 · Question 3 part a · 1 mark

2024 JUN · Paper 02 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Calculate, to two decimal places, **the price in British pounds (£)** of a park entry fee for 1 adult into the Corcovado National Park. You are advised to show your working. **Answer**	Mark

Type MS · Fiscal balance: budget surplus or deficit

Answer 4 of 4 · Question 4 part a · 2 marks

2024 JUN · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

	Answer	
4(a)	**AO2 2 marks** Award 2 marks for calculating the fiscal surplus 38.815 CAD$bn – 35.897 CAD$bn **(1)** = 2.918 CAD$bn **(1)** Award 2 marks if the fiscal surplus is accurately calculated as 2.918 CAD$bn even if no calculations are shown Award 1 mark if CAD$bn is missing i.e. 2.918 with or without calculations shown No marks for formula	**(2)**

Type MS · Fiscal balance: budget surplus or deficit

Answer 4 of 4 · Question 4 part a · 2 marks

2024 JUN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the relationship between inflation and interest rates for a country such as Canada. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Inflation is the rate at which prices are rising in an economy • Interest rates refer to the cost of borrowing or the return on savings • Higher inflation can lead to a decrease in the purchasing power of a currency • To combat inflation central banks such as the Bank of Canada may increase interest rates to encourage saving and reduce borrowing • This can slow down spending in the economy and decrease demand-pull inflation • An increase in interest rates may also increase the exchange rate in Canada making imports cheaper for both consumers and firms • This may also help to reduce cost-push inflation in Canada towards its 2% target rate from 5.2%	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Fiscal balance: budget surplus or deficit

Answer 4 of 4 · Question 4 part a · 2 marks

2024 JUN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the possible advantages of using education and training to reduce structural unemployment for a country such as Canada. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • Education and training are examples of supply-side policies designed to improve the productive potential of an economy • Education and training can help individuals acquire the skills they need to fill the one million job vacancies • This could reduce the skills gap and mismatch between the skills that workers possess and the skills/human capital that employers require • As a result, this can lead to a reduction in structural unemployment as individuals become better equipped to fill the job vacancies • A quarter of job vacancies are for low skilled jobs, so these schemes could help to provide digital skills or basic skills to be able to gain employment • It can increase employability and earning potential for unemployed workers or for workers wanting to gain new skills or career advancement • Education and training boosts productivity and economic growth by enhancing the overall skill level of the workforce **AO4** • It can be costly for the Canadian Government with the financial support for adult scheme costing $815m alone • It may take time to complete education and training courses which could be a disadvantage for those who need to start earning income immediately • The cost of training may be high for individuals even with financial support from the government • The skills being taught may not match the needs of employers or reach those who need them the most • Employers may not be willing to hire individuals without experience even if they have completed more training • Some of Canada's unemployment may not be structural and could be due to cyclical unemployment • Individuals may not have the necessary resources such as transportation or childcare to participate in training programmes • The overall advantages will depend on how effective education and training is and the reasons for the one million job vacancies	**(12)**

Type MS · Fiscal balance: budget surplus or deficit

Answer 4 of 4 · Question 4 part a · 2 marks

2024 JUN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Fiscal balance: budget surplus or deficit

Answer 4 of 4 · Question 4 part a · 2 marks

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